

AUDIT & ASSURANCE: DETAILED REVISION GUIDE

Subject: Audit & Assurance (CA Framework)

Focus: Comprehensive Summary of Concepts & ISAs

PHASE 1: REPORTING & ETHICS

Audit Report

- **Relevant Standards:** ISA 700, ISA 701, ISA 705, ISA 706
- **Detailed Summary:**
 - **The Auditor's Opinion (ISA 700):** The primary output of the audit. The standard "Unmodified Opinion" states that the financial statements present a "true and fair view" in all material respects.
 - **Key Audit Matters (ISA 701):** Mandatory for listed entities. These are matters that, in the auditor's professional judgment, were of most significance in the audit. They usually involve high risk, significant judgment, or complex events.
 - **Modifications to the Opinion (ISA 705):**
 1. **Qualified Opinion:** Used when a misstatement or lack of evidence is material but **not pervasive** ("Except for...").
 2. **Adverse Opinion:** Used when a misstatement is both material **and pervasive** (The F/S are misleading).
 3. **Disclaimer of Opinion:** Used when the auditor cannot obtain sufficient evidence, and the possible effects are material **and pervasive** (The auditor cannot form an opinion).
 - **Emphasis of Matter (EOM) Paragraph (ISA 706):** Draws attention to a matter *already properly disclosed* in the financial statements (e.g., a major subsequent event or uncertainty).
 - **Other Matter (OM) Paragraph (ISA 706):** Refers to a matter *not* presented in the financial statements but relevant to understanding the audit (e.g., prior year audited by a different firm).

Code of Ethics

- **Relevant Standard:** ICAP / IESBA Code of Ethics
- **Detailed Summary:**
 - **Fundamental Principles:**

1. **Integrity:** Being straightforward and honest in all professional relationships.
 2. **Objectivity:** Not allowing bias, conflict of interest, or undue influence of others.
 3. **Professional Competence and Due Care:** Maintaining professional knowledge and skill at the level required.
 4. **Confidentiality:** Respecting the confidentiality of information acquired; not disclosing without authority.
 5. **Professional Behavior:** Complying with relevant laws and regulations and avoiding any action that discredits the profession.
- **Threats to Independence:**
 - **Self-interest:** Financial interest in the client.
 - **Self-review:** Auditing your own work (e.g., preparing accounts then auditing them).
 - **Advocacy:** Promoting the client's position (e.g., representing them in court).
 - **Familiarity:** Too sympathetic due to a long relationship (e.g., long-standing partner).
 - **Intimidation:** Deterred from acting objectively due to threats (e.g., threat of dismissal).

Companies Act (Pakistan Context)

- **Relevant Law:** Companies Act 2017 (Sections 246–255)
- **Detailed Summary:**
 - **Appointment:**
 - *First Auditor:* Appointed by Directors within 90 days of incorporation.
 - *Subsequent Auditors:* Appointed by members at the AGM.
 - *Casual Vacancy:* Filled by Directors within 30 days.
 - **Qualification:** Public companies must appoint a Chartered Accountant. Private companies with low capital may appoint a Cost & Management Accountant.
 - **Disqualification:** A person cannot be an auditor if they are:
 - A director, officer, or employee of the company.
 - A spouse of a director.

- Indebted to the company (e.g., credit card debt unpaid).
 - Holding shares (unless disclosed at appointment and sold within 90 days).
 - **Rights:** Right of access to books/accounts at all times; right to attend general meetings.
-

PHASE 2: PLANNING & RISK ASSESSMENT

Terms of Engagement

- **Relevant Standard:** ISA 210
- **Detailed Summary:**
 - **Preconditions for an Audit:** Before accepting, the auditor must determine if the financial reporting framework is acceptable and obtain management's agreement that they understand their responsibilities.
 - **Engagement Letter:** A contract sent *before* the audit begins to avoid misunderstandings. It details:
 - The objective and scope of the audit.
 - Responsibilities of the auditor and management.
 - Identification of the applicable financial reporting framework.
 - Expected form and content of any reports.

Audit Risk and Analytical Procedures

- **Relevant Standards:** ISA 315, ISA 520
- **Detailed Summary:**
 - **Audit Risk Model:** $\text{Audit Risk} = \text{Inherent Risk} \times \text{Control Risk} \times \text{Detection Risk}$.
 - *Inherent Risk (IR):* Susceptibility to misstatement before controls (e.g., cash is easily stolen).
 - *Control Risk (CR):* Risk that internal controls will fail to prevent/detect error.
 - *Detection Risk (DR):* Risk that the auditor's procedures will fail to detect the error.
 - **Analytical Procedures (ISA 520):** Evaluations of financial information through analysis of plausible relationships (e.g., ratios, trends, comparisons).

- *Planning Stage*: Mandatory (to identify risk).
- *Substantive Stage*: Optional (to gather evidence).
- *Completion Stage*: Mandatory (overall review of consistency).

Materiality

- **Relevant Standard:** ISA 320
- **Detailed Summary:**
 - **Definition:** Misstatements are material if they could reasonably be expected to influence the economic decisions of users taken on the basis of the financial statements.
 - **Performance Materiality:** An amount set *less than* materiality for the financial statements as a whole. It acts as a "buffer" to reduce the probability that the aggregate of uncorrected and undetected misstatements exceeds materiality.
 - **Benchmarks:** Common benchmarks include % of Profit before tax (5-10%), % of Total Assets (1-2%), or % of Revenue (0.5-1%).

Strategy and Planning

- **Relevant Standard:** ISA 300
- **Detailed Summary:**
 - **Audit Strategy:** Sets the scope, timing, and direction of the audit. It guides the development of the more detailed audit plan. It determines the resources (who, how many, when) required.
 - **Audit Plan:** More detailed than the strategy. It includes the nature, timing, and extent of audit procedures to be performed by engagement team members (Risk assessment procedures and Substantive procedures).

Internal Control

- **Relevant Standard:** ISA 315
- **Detailed Summary:**
 - **Objective:** To obtain an understanding of the entity's internal control relevant to the audit.
 - **Five Components (CRIME):**
 1. **Control Activities:** Policies/procedures (e.g., Authorization, Segregation of Duties).

2. **Risk Assessment Process:** How management identifies and manages risk.
 3. **Information System:** How transactions are initiated, recorded, processed, and reported.
 4. **Monitoring of Controls:** Assessing the quality of internal control performance over time.
 5. **Environment (Control Environment):** The "tone at the top," ethical values, and competence.
-

PHASE 3: EXECUTION & EVIDENCE

Audit Documentation

- **Relevant Standard:** ISA 230
- **Detailed Summary:**
 - **Objective:** To provide evidence of the auditor's basis for a conclusion and evidence that the audit was planned and performed in accordance with ISAs.
 - **Standard:** Documentation must be sufficient to enable an **experienced auditor** (with no previous connection to the audit) to understand the nature, timing, extent, and results of procedures.
 - **Assembly:** The final audit file must be assembled within **60 days** after the date of the auditor's report. After this date, nothing can be deleted, only administrative changes are allowed.

External Confirmation

- **Relevant Standard:** ISA 505
- **Detailed Summary:**
 - **Objective:** Audit evidence obtained as a direct written response to the auditor from a third party (the confirming party). It is considered highly reliable.
 - **Positive Confirmation:** The responding party must reply directly to the auditor indicating whether they agree or disagree with the information (or providing the requested info).
 - **Negative Confirmation:** The responding party responds *only* if they disagree. This provides less persuasive evidence and is only used when the risk of material misstatement is low.

- **Management Refusal:** If management refuses to allow the auditor to send a confirmation, the auditor must inquire about the reasons, evaluate the implications, and perform alternative procedures.

Fraud

- **Relevant Standard:** ISA 240
- **Detailed Summary:**
 - **Responsibilities:**
 - *Management:* Primary responsibility for the prevention and detection of fraud.
 - *Auditor:* Responsible for obtaining reasonable assurance that the F/S are free from material misstatement, whether due to fraud or error.
 - **The Fraud Triangle:** Three conditions generally present when fraud occurs:
 1. Incentive/Pressure.
 2. Opportunity.
 3. Rationalization/Attitude.
 - **Professional Skepticism:** The auditor must maintain an attitude that includes a questioning mind and a critical assessment of audit evidence.

Using the Work of Auditor's Expert

- **Relevant Standard:** ISA 620
- **Detailed Summary:**
 - **Definition:** An individual or organization possessing expertise in a field other than accounting or auditing (e.g., Actuary for pension valuation, Engineer for construction stage completion).
 - **Auditor's Duty:** The auditor must evaluate the expert's:
 1. **Competence:** Nature and level of expertise (Certifications).
 2. **Capabilities:** Ability to exercise that competence.
 3. **Objectivity:** Possible effects that bias or conflict of interest may have on professional judgment.
 - **Reporting:** The auditor generally does not refer to the expert in an unmodified audit report unless required by law.

Internal Audit

- **Relevant Standard:** ISA 610
- **Detailed Summary:**
 - **Using Internal Audit Work:** The external auditor may use the work of the internal audit function to modify the nature or timing, or reduce the extent, of audit procedures.
 - **Evaluation:** Before using their work, the external auditor must evaluate the internal audit function's **objectivity, competence**, and whether they apply a **systematic and disciplined approach**.
 - **Direct Assistance:** Using internal auditors to perform audit procedures under the direction, supervision, and review of the external auditor (prohibited in some jurisdictions for high-risk areas).

Information Technology

- **Context:** IT Controls in an Audit
- **Detailed Summary:**
 - **General IT Controls (GITCs):** Policies and procedures that relate to many applications and support the effective functioning of application controls. Examples: Data center and network operations, system software acquisition, access security (passwords), and backup systems.
 - **Application Controls:** Manual or automated procedures that apply to the processing of transactions by individual applications. Examples: Edit checks (format validation), numerical sequence checks, and arithmetic checks.

Sampling

- **Relevant Standard:** ISA 530
- **Detailed Summary:**
 - **Definition:** The application of audit procedures to less than 100% of items within a population.
 - **Sampling Risk:** The risk that the auditor's conclusion based on a sample may be different from the conclusion if the entire population were subjected to the same audit procedure.
 - **Statistical Sampling:** Random selection of sample items and the use of probability theory to evaluate results.

- **Non-Statistical Sampling:** Selecting items based on professional judgment (e.g., haphazard selection).

Substantive Procedures

- **Relevant Standard:** ISA 330
- **Detailed Summary:**
 - **Definition:** Audit procedures designed to detect material misstatements at the assertion level. They comprise:
 1. **Tests of Details:** Vouching (from F/S to source docs for Existence) and Tracing (from source docs to F/S for Completeness).
 2. **Substantive Analytical Procedures:** Using ratios and trends to find errors.
 - **Assertions (The things we test):**
 - *For Account Balances:* Existence, Rights and Obligations, Completeness, Valuation and Allocation.
 - *For Transactions:* Occurrence, Completeness, Accuracy, Cut-off, Classification.

PHASE 4: CONCLUSION & SPECIAL AREAS

Subsequent Events

- **Relevant Standard:** ISA 560
- **Detailed Summary:**
 - **Period 1 (Year-end to Audit Report Date):** The auditor has an **active duty** to perform procedures to identify subsequent events that require adjustment or disclosure.
 - **Period 2 (Audit Report Date to Financial Statement Issue):** The auditor has a **passive duty**. They are not responsible for actively looking for events, but if they become aware of a fact, they must discuss it with management.
 - **Types of Events:**
 - *Adjusting Events:* Provide evidence of conditions that existed at the date of the financial statements (Requires changing the numbers).
 - *Non-Adjusting Events:* Indicative of conditions that arose after the date of the financial statements (Requires disclosure only).

Written Representation

- **Relevant Standard:** ISA 580
- **Detailed Summary:**
 - **Definition:** A written statement by management provided to the auditor to confirm certain matters or to support other audit evidence.
 - **Importance:** It is **necessary** audit evidence, but it is **not sufficient** on its own. It cannot substitute for other evidence that the auditor could reasonably expect to be available.
 - **Required Representations:** Management must confirm they have fulfilled their responsibility for the preparation of financial statements, provided all relevant information, and disclosed all known fraud/legal compliance issues.

Related Party

- **Relevant Standard:** ISA 550
- **Detailed Summary:**
 - **Risk:** Related party relationships and transactions may give rise to higher risks of material misstatement (e.g., transactions not at arm's length).
 - **Procedures:** The auditor must inspect shareholder records, minutes of meetings, and bank confirmations to identify related parties. They must ensure that all related party transactions are properly identified, accounted for, and disclosed in the financial statements.

Review Engagements (ISRE)

- **Relevant Standard:** ISRE 2400
- **Detailed Summary:**
 - **Nature:** This is **not an audit**. It provides a lower level of assurance called **Limited Assurance**.
 - **Procedures:** Primarily consists of **Inquiry** (asking questions) and **Analytical Procedures** (trends/ratios). Detailed vouching is generally not performed.
 - **Conclusion:** Expressed in a negative form: "Based on our review, **nothing has come to our attention** that causes us to believe that these financial statements do not give a true and fair view."

Quality Management

- **Relevant Standard:** ISA 220

- **Detailed Summary:**

- **Engagement Partner:** Has the ultimate responsibility for the quality of the audit engagement. They must ensure the team follows ethical requirements and that the audit is planned, directed, and supervised appropriately.
- **Engagement Quality Review (EQR):** A review performed by an objective reviewer (often another partner) *before* the report is issued. This is mandatory for audits of listed entities to evaluate significant judgments made by the engagement team.